2-1 Using Accounts to Record Transactions

Objective 1 - Describe the characteristics of an account and a chart of accounts.

In Chapter 1, the November transactions for **NetSolutions** were recorded using the accounting equation format shown in Exhibit 1. However, this format is not efficient or practical for companies that have to record thousands or millions of transactions daily. As a result, accounting systems are designed to show the increases and decreases in each accounting equation element as a separate record. This record is called an **account** (An accounting form used to record the increases and decreases in each financial statement item.)

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Exhibit 1

NetSolutions' November Transactions

	Assets			= Liabilities +	Stockholders' Equity							
	Cash +	Supp. +	Land =	Accounts Payable +	Common Stock −	Dividends +	Fees Earned −	Wages Exp. −	Rent Exp. −	Supplies Exp. −	Utilities Exp. −	Misc. Exp.
a.	+25,000				+25,000							
b.	−20,000		+20,000									
Bal.	5,000		20,000		25,000							
c.		+1,350		+1,350								
Bal.	5,000	1,350	20,000	1,350	25,000							
d.	+7,500						+7,500					
Bal.	12,500	1,350	20,000	1,350	25,000		7,500					
e.	−3,650							−2,125	−800		−450	−275
Bal.	8,850	1,350	20,000	1,350	25,000		7,500	−2,125	−800		−450	−275
f.	−950			−950								
Bal.	7,900	1,350	20,000	400	25,000		7,500	−2,125	−800		−450	−275
g.		−800								−800		
Bal.	7,900	550	20,000	400	25,000		7,500	−2,125	−800	−800	−450	−275
h.	−2,000					−2,000						
Bal.	5,900	550	20,000	400	25,000	−2,000	7,500	−2,125	−800	−800	−450	−275

To illustrate, the Cash column of Exhibit 1 records the increases and decreases in cash. Likewise, the other columns in Exhibit 1 record the increases and decreases in the other accounting equation elements. Each of these columns can be organized into a separate account.

An account, in its simplest form, has three parts.

- A title, which is the name of the accounting equation element recorded in the account
- A space for recording increases in the amount of the element

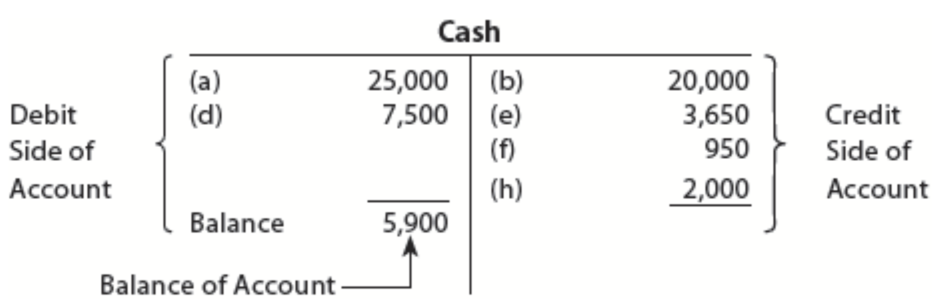
- A space for recording decreases in the amount of the element

The account form that follows is called a **T account** (The simplest form of an account, which consists of an account title, a debit side, and a credit side.) because it resembles the letter T. The left side of the account is called the *debit* side, and the right side is called the *credit* side.

	Title	
	Left side	Right side
	debit	*credit*

The amounts shown in the Cash column of Exhibit 1 would be recorded in a cash account as follows:

> Note
>
> Amounts entered on the left side of an account are debits, and amounts entered on the right side of an account are credits.



Recording transactions in accounts must follow certain rules. For example, increases in assets are recorded on the **debit** (Amount entered on the left side of an account.) (left side) of an account. Likewise, decreases in assets are recorded on the **credit** (Amount entered on the right side of an account.) (right side) of an account. The excess of the debits of an asset account over its credits is the **balance of the account** (The amount of the difference between the debits and the credits that have been entered into an account.)

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To illustrate, the receipt (increase in Cash) of $25,000 in transaction (a) is entered on the debit (left) side of the cash account. The letter or date of the transaction is also entered into the account. That way, if any questions later arise related to the entry, the entry can be traced back to the underlying transaction data. In contrast, the payment (decrease in Cash) of $20,000 to purchase land in transaction (b) is entered on the credit (right) side of the account.

The balance of the cash account of $5,900 is the excess of the debits over the credits, computed as follows:

Debits ($25,000 + $7,500)	$ 32,500
Less credits ($20,000 + $3,650 + $950 + $2,000)	(26,600)
Balance of Cash as of November 30, 20Y3	$ 5,900

The balance of the cash account is inserted in the account, in the Debit column. In this way, the balance is identified as a debit balance. This balance represents NetSolutions' cash on hand as of November 30, 20Y3. This balance of $5,900 is reported on the November 30, 20Y3, balance sheet for **NetSolutions** as shown in Exhibit 8 of Chapter 1.

Link to Apple

On a recent balance sheet, **Apple Inc.** reported $48.8 billion of cash.

In an actual accounting system, a more formal account form replaces the T account. Later in this chapter, a four-column account is illustrated. The T account, however, is a simple way to illustrate the effects of transactions on accounts and financial statements. For this reason, T accounts are often used in business to explain transactions.

Each of the columns in Exhibit 1 can be converted into an account form in a similar manner as was done for the Cash column of Exhibit 1. However, as mentioned earlier, recording increases and decreases in accounts must follow certain rules. These rules are discussed after the chart of accounts is described.